Where should we open our next center-based preschools?

Answer: start with four counties where preschool prices sit well above what labor and rent costs predict, and validate six more

+$201
per week above cost prediction
Arlington, VA

+$143
per week above cost prediction
Alexandria, VA

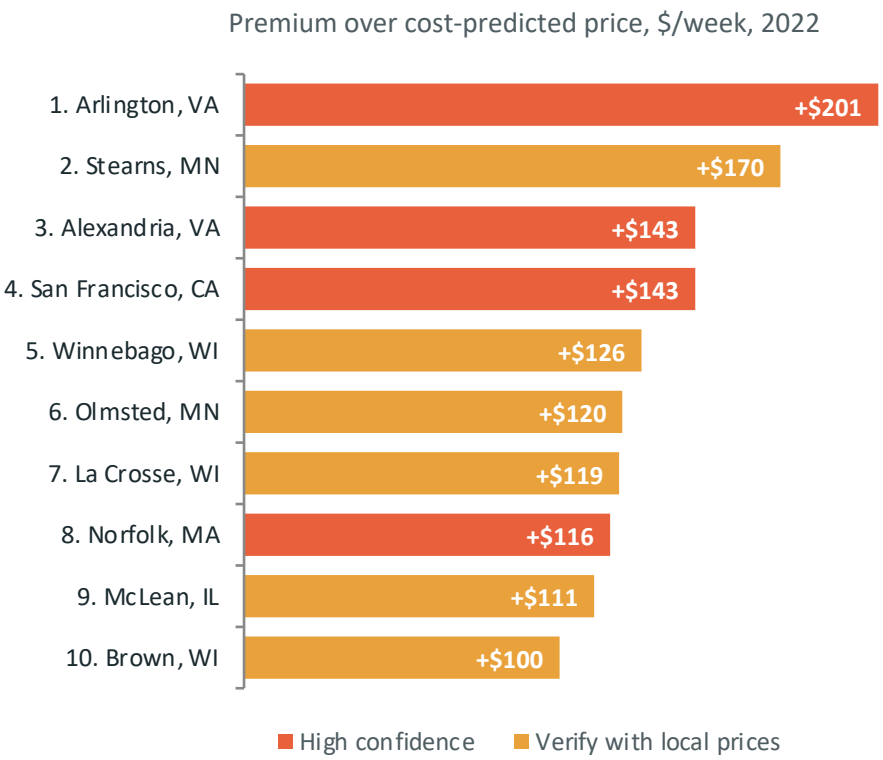
+$143
per week above cost prediction
San Francisco, CA

+$116
per week above cost prediction
Norfolk, MA

998 metro counties analyzed · 155 pass market-size and persistence screens · top 10 average premium +$135/week

Ignacio Sanchez Urdaneta · Beck Jamilov · Claudia Palacios Surco · Gary Chen

Top 10 charge $100–$201/wk above cost: 2.7–5.4× typical error



Why verify six of them?

Regional price: Winnebago, La Crosse, Brown (WI) and Olmsted (MN) share one survey price with 7–8 other counties.

Extreme trend: Stearns (+77%) and McLean (+59%) prices rose faster 2018–22 than 99% of counties.

High-confidence alternates

- Howard, MD +$89
- Burlington, NJ +$88
- DuPage, IL +$86
- Gloucester, NJ +$85

We rank counties by how far price exceeds what costs predict

1 Cost model

Price = a + 7.09 × wage ($1k) + 5.91 × rent ($100)

R^2 = 0.61, RMSE $37/week; refit every year

2 Premium

Actual price − predicted price

$/week, 2022 dollars

3 Screens

≥ 5,000 kids under 6, parents working; premium > 0 in every observed year 2019–22 (≥ 3 of 4)

998 → 155 counties

4 Rank + flag

Order by 2022 premium; flag regional prices and extreme trends

Top 10 + confidence tier

How reliable is it?

0.88

2019 premium predicts 2022 premium (slope, 712 counties)

0.98

rank agreement with a log-price model

$37

typical miss (RMSE). What costs don't explain is the premium we rank on; top 10 clear it 2.7–5.4×

43%

of premium variation is between states; a within-state model keeps all 4 high-confidence picks in its top 8

Winning markets: affluent, educated, dual-earner counties

Characteristics we use to pick locations

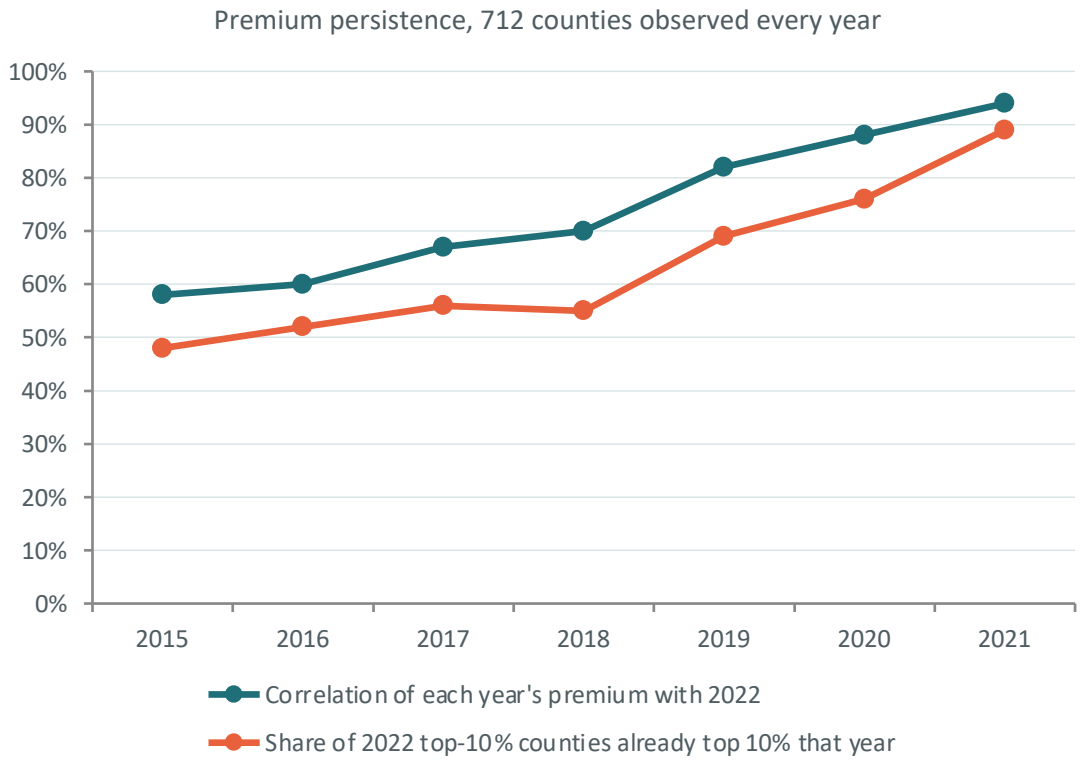
1. **Price premium over costs**
   the ranking variable
2. **Childcare-worker wage**
   labor cost (OEWS, per metro area)
3. **Median gross rent**
   occupancy cost proxy
4. **Children under 6, all parents working**
   demand depth (≥ 5,000)

Top 10 vs. all 998 metro counties (2022)

	Top 10	All 998 metro
Per-capita income	**$56k**	$38k
Women 25+ with bachelor's+	**49%**	31%
Women working full-time, year-round	**51%**	45%
Median gross rent	**$1,437**	$1,106
Preschool price, $/week	**$352**	$174

But demographics alone explain only 7% of premiums, so we rank on the measured premium, not on demographics.

Premiums persist, so they are signal, not noise



0.88

A $1 premium in 2019 still meant about 88¢ in 2022 (712 counties; 0.90 across all 974)

Signal, not noise: the lasting part of each premium (SD $31/wk) is twice the yearly noise ($15). Knowing the 2019 premium cuts the 2022 price error from $37 to $22.

Caveat: states survey prices every 2–3 years and NDCP interpolates in between, so adjacent years look more alike than they are. The 3+ year comparisons are the honest test, and they hold.

Before committing capital, close these gaps

What our model does not see

Competition and capacity: Licensed slots, waitlists, incumbents (incl. existing Bright Horizons sites)

Labor cost: OEWS childcare workers exclude preschool teachers (SOC 25-2011); ratio rules raise cost per child (MN strictest)

Real estate: Commercial lease rates and zoning, not residential rent

Missing markets: No 2022 NDCP prices for PA, IN, MO, NM, AR, PR (Philadelphia, Pittsburgh, St. Louis, Indianapolis)

Price quality: Posted survey medians, some regional or interpolated; not realized prices after discounts

Next steps

1. Site and competitor scan in Arlington, Alexandria, San Francisco and Norfolk
2. Collect local center prices for the six 'verify' counties
3. Add licensed capacity and commercial rents to the model
4. Re-run with NDCP data beyond 2022 as it is released